conversation. I made it clear to him that my concerns were as much about the potential misuse of the statutory committee arrangement as about the perception such a statutory provision would convey about regulatory autonomy which, among other things, would erode India's attractiveness as an investment destination. From his side, the finance minister talked about the damage regulatory disputes could do to investor confidence and the need for an established and predictable mechanism to resolve disputes before they blew up into public spats.

Pranab Mukherjee did not concede the main issue but agreed to remove one possible source of misuse—which was that the secretaries in the ministry of finance who were also members of the committee would not be able to register a complaint to invoke the committee's jurisdiction; it could only be invoked by a complaint by one of the regulators. He also tried to assuage me personally by designating the governor of the Reserve Bank as the vice chairman of the statutory committee. This was not something I demanded, nor was it an issue that mattered to me personally.

The autonomy tussle arising from the ULIP ordinance segued into a contention over the establishment of the Financial Stability and Development Council with a remit to deal with issues relating to financial stability, financial sector development and inter-regulatory coordination. The finance minister would be the chairman and all financial regulators would be members of the FSDC.

Some background is necessary to see the FSDC issue in perspective. Financial stability came centre stage in the aftermath of the global financial crisis with the realization that it was the neglect of financial stability by governments and regulators that was the root cause of the crisis. The world view before the crisis was that if governments and regulators took care of price stability and macroeconomic stability, financial stability would obtain as an automatic by-product. The crisis, coming as it did in the midst of an extraordinary period of macroeconomic and price stability, demolished that view. The received post-crisis wisdom is that financial stability has always got to be on the radar of governments and financial sector regulators.